

just self-sufficient but also a leader in cost control.

“We are the third-largest player in the industry but have never spoken about capacity,” says Bangur. The company is on track to reach 68 million tonnes per annum (mtpa) by September. Just in the last two years, it has added 20 mtpa capacity. The target is to hit 80 mtpa by 2028 from the present nearly 63 mtpa. The consolidated capex for FY25-27 is expected to be ₹12,000 crore. Shree believes it has internal capabilities to achieve its target without M&As. The management is not

comfortable paying a high premium to just acquire market share. The approach is to not be over-leveraged and maintain net cash.

There is a solid rationale for Shree’s preference to grow organically. Just in terms of numbers, setting up a new plant will cost around \$75 per tonne compared to recent acquisitions at \$110 per tonne, a difference of \$35-40 per tonne in enterprise value. Moreover, organic expansion allows for greater control, better integration with logistics and energy strategies (like captive power plants and waste heat recovery), and ensures that the business remains debt-light. Shree is betting on its ability to build smarter and cheaper, reinforcing its financial philosophy that long-term value creation comes from discipline, not just speed. “It’s not as if we are closed to that option and could buy something in the future,” says Bangur.

Uttamkumar Srimal, senior research analyst (cement) at Axis Securities, says that when an asset is acquired, there are multiple complexities, with the cost playing a critical role. “If there is an issue with its operations, production costs can escalate and negatively impact the performance. Shree Cement appears to be more comfortable with an organic growth strategy,” he says.

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PRASHANT BANGUR

VICE CHAIRMAN,
SHREE CEMENT

“India is a developing market and offers a lot of choice. We must make that process easy, and technology plays a big role in doing that”



NEERAJ AKHOURY

MANAGING
DIRECTOR, SHREE
CEMENT

“We are strong in the north and getting strong in the east. It is with that confidence that we are looking at the south”

PROFESSIONAL APPROACH

In October 2022, Shree Cement appointed Neeraj Akhoury, an old Lafarge and later Ambuja hand, as managing director. “CEOs are sharper since they handle multiple responsibilities. We wanted someone who had worked in a larger organisation and had a good understanding of systems and processes,” says Bangur. In the same breath, he speaks of how this is the “newborn Shree Cement” that is far more efficient.

Bangur’s unwillingness to accept the status quo stands out. “We have to regenerate ourselves every ten years, and now is the age of digital. It facilitates or-